Managing investments

Investments are something individuals buy or put money into in order to make a profit, or "return." There are different types of investments—known as asset classes—each of which offers a different type of return. Investors may receive interest (from cash or bonds), dividends (from shares), rent (from property), or capital gains when they sell the asset (the difference between the purchase and sale price). Investors can manage their own investments or pay someone else to do it.

Personal investment basics

Investing money for the first time is a big step, and it is essential to prepare well. Investing means taking a risk with money, and it is possible to lose some or all of the capital invested. Before deciding what to invest in, anyone looking to invest must assess the state of their personal finances. They should pay off any outstanding debts and loans first, and maintain access to a source of cash in case of emergency.

Asset allocation

Asset classes are simply different categories of investments. The four main asset classes are cash, bonds (or fixed-interest securities), shares (or equities), and property.

CASH
Money held in savings accounts is secure and accessible. However, returns are low and could be wiped out by inflation.

BONDS
Fixed-interest securities such as bonds and gilts provide regular income and are generally a lower risk than investments such as shares.

SHARES
Buying shares means investing in a company and thereby owning a part of it. Shares may pay regular dividends or gain capital value.

PROPERTY
Residential housing and commercial units can provide a good rental income and high returns when sold, but property is relatively illiquid.

Asset diversification

Diversification means investing in different asset classes. It helps to spread risk because there is less potential to lose everything if things go wrong if money invested is spread across assets and not channeled into one class.